STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

COMMITTEE SUBSTITUTE
FOR ENGROSSED
HOUSE BILL NO. 4305 By: Blair of the House

and

Frix of the Senate

COMMITTEE SUBSTITUTE

[ad valorem tax - real property - terms - method - fair cash value - exemptions - codification - effective date]

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 2865.1 of Title 68, unless there is created a duplication in numbering, reads as follows:

A. As used in this act:

1. "Active construction" means any property that is being constructed or renovated that has yet to place in service all of its buildings;

2. "Audit" means an audit of the financial operations of the property provided by a third-party certified public accountant or

financial statements certified by the organization to be true and accurate;

3. "Lease-up" means any property that has an actual occupancy of less than ninety percent (90%), that is under or has been under active construction, and is in the process of leasing units;

4. "Net operating income" means gross restricted rent income from the property minus operating expenses and replacement reserve deposits, before debt service, depreciation, amortization, capital expenditures, and income taxes;

5. "Organization" means a property owner meeting the requirements under subsection B of this section; and

6. "Restricted rent" means the actual rental rates that are restricted by the programs described in subsection B of this section.

B. This act shall only apply to real property owned by an organization:

1. For the purpose of renting the property to a low-income or moderate-income individual or family who satisfies the income eligibility requirements of the organization;

2. That was financed in whole or in part through allocation of the federal low-income housing tax credit authorized pursuant to 26 U.S.C., Section 42, and is subject to a land use agreement or regulatory agreement that has not expired or been terminated;

3. That does not receive exempt treatment under Section 2887 of Title 68 of the Oklahoma Statutes; and

4. The owner of which has not entered into any agreement with any taxing unit to make payments to the taxing unit instead of taxes on the property.

C. In determining the fair cash value of a property described in subsection B of this section, the county assessor shall determine the fair cash value of property that is under active construction or lease-up on January 1 of the current tax year in the manner provided by Section 8 of Article X of the Oklahoma Constitution using the restricted rent income approach method, provided that the county assessor shall estimate the net operating income of the property based on the projected restricted rent income and expenses of the organization for the first full year of operation, as adjusted to reflect the average occupancy during the lease-up period.

D. In determining the fair cash value for a property for any subsequent tax year, the county assessor shall determine the fair cash value of the property based upon the restricted rent income approach method utilizing the net operating income of the property from the audit provided by the organization.

E. In determining the fair cash value of property described in subsection B of this section, the county assessor shall not consider the value or any amount of any federal or state low-income housing tax credits as a component of the fair cash value or income attributable to the property.

F. The county assessor shall determine a formal process for determining market-derived capitalization rates to be applied to the net operating income of the property based on project and investor data for comparable properties with restricted rents.

G. Not later than May 1 of each year, the organization shall deliver to the county assessor the audit for the preceding year. The county assessor may extend the deadline for good cause shown.

SECTION 2. AMENDATORY 68 O.S. 2021, Section 2887, as amended by Section 1, Chapter 260, O.S.L. 2023 (68 O.S. Supp. 2025, Section 2887), is amended to read as follows:

Section 2887. The following property shall be exempt from ad valorem taxation:

1. All property of the United States, and such property as may be exempt by reason of treaty stipulations existing at statehood between the Indians and the United States government, or by reason of federal laws in effect at statehood, during the time such treaties or federal laws are in force and effect. In instances where a federal agency has obtained title to property through foreclosure, voluntary or involuntary liquidation or bankruptcy, which was previously subject to ad valorem taxation, the property may continue to be assessed for ad valorem taxes if such federal agency has agreed to pay such taxes;

2. All property of this state, and of the counties, school districts, and municipalities of this state, including property acquired for the use of such entities pursuant to the terms of a lease-purchase agreement which provides for the passage of title or the release of security interest, if applicable, upon payment of all rental payments and an additional nominal amount;

3. All property of any college or school, provided such property is devoted exclusively and directly to the appropriate objects of such college or school within this state and all property used exclusively for nonprofit schools and colleges;

4. The books, papers, furniture and scientific or other apparatus pertaining to any institution, college or society referred to in paragraph 3 of this section, and devoted exclusively and directly for the purpose above contemplated, and the like property of students in any such institution or college, while such property is used for the purpose of their education;

5. All fraternal orphan homes and other orphan homes;

6. All property used for free public libraries, free museums, public cemeteries, or free public schools;

7. All property used exclusively and directly for fraternal or religious purposes within this state. For purposes of this paragraph, an exemption based on religious purposes includes real property owned by a church which allows its premises to be used by an entity if such entity is not required to make rental payments to

the church, is not required to execute a formal lease agreement with respect to its occupancy of the church premises and conducts instruction of children from any or all grades for ages preschool through twelfth grade, including religious instruction consistent with the doctrines of the church the premises of which are being used for that purpose. For purposes of this paragraph, a requirement by a church to be reimbursed by the entity for utility expenses, janitorial services or similar expenses shall not be a basis upon which to remove or deny the exempt status of church property. Exempt status of church property shall not be removed nor shall church property be allocated between taxable and exempt status based on the use of church premises by an entity as described by this paragraph.

For purposes of administering the exemption authorized by this section and in order to determine whether a single family residential property is used exclusively and directly for fraternal or religious purposes, the fair cash value of a single family residential property, for which an exemption is claimed as authorized by this ~~subsection~~ section, in excess of Five Hundred Thousand Dollars ($500,000.00) for the applicable assessment year shall not be exempt from taxation;

8. All property of any charitable institution organized or chartered under the laws of this state as a nonprofit or charitable institution, provided the net income from such property is used

exclusively within this state for charitable purposes and no part of such income inures to the benefit of any private stockholder, including property which is not leased or rented to any person other than a governmental body, a charitable institution or a member of the general public who is authorized to be a tenant in property owned by a charitable institution under Section 501(c)(3) of the Internal Revenue Code of 1986, as amended, and which includes, but is not limited to, an institution that either:

a. additionally satisfies the income standards set forth in Internal Revenue Service Revenue Procedure 96-32, which may be audited by the county assessor of the applicable county, in addition to other requirements of this subparagraph, as a condition of obtaining and maintaining the exemption, if:

(1) the property provides residential rental accommodations regardless of whether services or meals are provided, and

(2) the property:

(a) is occupied as of the applicable January 1 assessment date if the structure is a single-family dwelling, or

(b) has an average seventy-five percent (75%) occupancy rate, based upon the total number of units suitable for occupancy, during the calendar year preceding the applicable January 1 assessment date if the property contains multiple structures suitable for ~~multi-family~~ multifamily housing. The owner of any property subject to the occupancy requirements prescribed herein shall submit a report to the county assessor of the county in which the property is located no later than December 15 each year regarding the occupancy rate for the preceding eleven (11) months. If the report indicates that the average occupancy rate was less than seventy-five percent (75%), the county assessor shall determine the taxable value of the property for the succeeding assessment year and the property shall not be exempt for any subsequent assessment year unless the average occupancy rate is at least seventy-five percent (75%) during the succeeding eleven-month period. Except as provided in Section 178.6 of Title 60 of the Oklahoma Statutes, no asset consisting of a single-family or ~~multi-family~~ multifamily dwelling unit owned by an entity the property of which would otherwise be exempt pursuant to this subparagraph ~~a of this paragraph~~ shall be exempt from ad valorem taxation if any such dwelling unit was improved with or acquired with any portion of proceeds from the sale of obligations issued by any entity organized pursuant to Section 176 of Title 60 of the Oklahoma Statutes if the interest income derived from such obligations is exempt from federal income tax, or

b. (1) for a facility constructed prior to January 1, 2006, is a continuum of care retirement community providing housing for the aged, licensed under Oklahoma law, owned by a nonprofit entity recognized by the Internal Revenue Service as a Section 501(c)(3) tax-exempt entity and located in a county with a population of more than five hundred thousand (500,000) according to the latest Federal Decennial Census, and

(2) (a) for a facility in which construction was completed on or after January 1, 2006, is:

i. a continuum of care retirement community providing housing for the aged, licensed under Oklahoma law,

ii. owned by a nonprofit entity recognized by the Internal Revenue Service as a Section 501(c)(3) tax-exempt entity, and

iii. located in any county of the state regardless of population, or

(b) for a facility other than a facility described by division (1) of this subparagraph ~~b of this paragraph~~ and which is partially or fully constructed prior to January 1, 2006, is:

i. owned and occupied on or after January 1, 2006, by an entity that operates a continuum of care retirement community providing housing for the aged, licensed under Oklahoma law,

ii. owned by a nonprofit entity recognized by the Internal Revenue Service as a Section 501(c)(3) tax-exempt entity, and

iii. is located in any county of the state regardless of population.

For the purposes of this paragraph, the requirement that no part of such income inures to the benefit of any private stockholder or individual shall not be construed to prohibit the payment of reasonable and necessary compensation for services rendered, including but not limited to development, construction, financing, or management services, provided such compensation is consistent with fair market value and in furtherance of the charitable purpose of the property;

9. All property used exclusively and directly for charitable purposes within this state, provided the charity using ~~said~~ such property does not pay any rent or remuneration to the owner thereof unless the owner is a charitable institution described in ~~Section 501(c)(3) of the Internal Revenue Code,~~ 26 U.S.C., Section 501(c)(3), or a veterans' organization described ~~in Section 501(c)(19) of the Internal Revenue Code,~~ 26 U.S.C., Section 501(c)(19);

10. All property of any hospital established, organized and operated by any person, partnership, association, organization, trust, or corporation, as a nonprofit and charitable hospital, provided the property and net income from such hospital are used directly, solely, and exclusively within this state for charitable purposes and that no part of such income shall inure to the benefit

of any individual, person, partner, shareholder, or stockholder, and provided further that such hospital facilities shall be open to the public without discrimination as to race, color or creed and regardless of ability to pay, and that such hospital is licensed and otherwise complies with the laws of this state relating to the licensing and regulation of hospitals;

11. All libraries and office equipment of ministers of the Gospel actively engaged in ministerial work in ~~the State of Oklahoma~~ this state, where ~~said~~ such libraries and office equipment are being used by ~~said~~ such ministers in their ministerial work, shall be deemed to be used exclusively for religious purposes and are declared to be within the meaning of the term "religious purposes" as used in ~~Article X,~~ Section 6 of Article X of the Oklahoma Constitution ~~of the State of Oklahoma~~;

12. Household goods, tools, implements and livestock of every person maintaining a home, not exceeding One Hundred Dollars ($100.00) in value or One Thousand Dollars ($1,000.00) in value if ~~Article X,~~ Section 6 of Article X of the Oklahoma Constitution provides for an exemption in such amount; and in addition thereto, there shall be exempt from taxation on personal property the further sum of Two Hundred Dollars ($200.00) to all enlisted and commissioned personnel, whether on active duty or honorably discharged, who served in the Armed Forces of the United States during:

a. the Spanish-American War,

b. the period beginning on April 6, 1917, and ending on July 2, 1921,

c. the period beginning on December 6, 1941, and ending ~~on such date as the state of national emergency as declared by the President of the United States shall cease to exist~~ December 31, 1946, or

d. any other or future period during which a state of national emergency shall have been or shall be declared to exist by the Congress or the President of the United States.

All surviving spouses made so by the death of such enlisted or commissioned personnel, who are bona fide residents of this state, shall be entitled to the above additional exemption provided in this paragraph;

13. Family portraits;

14. All food and fuel provided in kind for the use of the family not to exceed provisions for one (1) year’s time, and all grain and forage necessary to maintain for one (1) year the livestock used to provide food for the family. No person from whom pay is received or expected for board shall be considered a member of the family within the intent and meaning of this paragraph;

15. All growing crops; and

16. All game animals, fowl and reptile, which are not being grown for food or sale and which are kept exclusively for propagation or exhibition, in private grounds or public parks in this state.

SECTION 3. This act shall become effective January 1, 2027.

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